

next to no one knew about it. When zcash launched from zero units outstanding, it seemed like the entire crypto-universe knew about it, and everyone wanted some.

The scarcity in initial supply combined with the hype pushed the price of zcash to astronomical levels. It quickly reached \$1,000 per coin, which at the time was even higher than the price of bitcoin. At one point on Poloniex, a popular cryptoasset exchange, the price reached 1 zcash for 3,299 bitcoin, or almost \$2 million at the time.⁶¹ However, by the end of 2016, the hysteria had dissipated and zcash was trading in a stable range of \$45 to \$50.

The Zcash team is led by Zooko Wilcox, whom we have mentioned prior as an early employee at David Chaum's DigiCash. Through his time at DigiCash and longstanding involvement in cryptography and cryptoassets, Zooko has become one of the most respected members in the community. A key innovation of Zcash is the use of a type of zero-knowledge proof, referred to as zk-SNARKs, which allow transactions to be sent between parties without any information being revealed other than the validity of the transaction. While it is still early days for Zcash, we are of the belief that the ethics and technology chops of Zooko and his team are top-tier, implying that good things lie in wait for this budding cryptocurrency.

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By the end of 2016, the price of bitcoin had reached a level just below \$1,000 (which it broke in January 2017), and there